Weighted Indices

In India various weighted price index are calculated. They are:

1. Wholesale Price Index (WPI)
2. Consumer Price Index for Industrial Workers (CPI – IW)
3. Consumer Price Index for Urban Non – Manual Employees (CPI – UNME)
4. Consumer Price Index for Agriculture Labourers (CPI – AL)
5. Consumer Price Index for Rural Labourers (CPI - RL)

Among the above indices, until October 2009, only the WPI was used to calculate inflation and made public through the newspapers. The other indices were published only as index numbers and not as inflation. But now the inflation is also calculated based on new CPI indices. So, these two are called the **head line inflation**. The new CPI indices are elaborated later.

The weights in WPI are assigned on the basis of value of production of respective commodity groups for WPI, after adjusting for value of net imports. For other indices, the weights are assigned on the basis of consumer expenditure survey.

For example, the value of production of primary articles is 22.62 per cent of total value of output. So, primary commodities are assigned 20.118 per cent weight. In consumer expenditure survey, it was found that people spend 46.19 per cent of their total expenditure on food in the base year. So, food items are assigned with 46.19 per cent weight.

Reason for Assigning Weight